situation for the moderate Akali leadership. But they had to continue their efforts if they were to remain relevant to the political and religious scene of Punjab. From the point of view of the 1 Akbar Road group, the negotiation process was going in the right direction, meaning that a certain section of Sikhs in Punjab was gradually losing faith in the ability of the moderate Akalis to protect their interests, thereby lending credibility to Bhindranwale's propaganda that moderate Akalis were incapable of protecting Sikh interests. It was just the beginning, though.

Following the second round of talks with the Akalis, Punjab Chief Minister Darbara Singh was asked by Prime Minister Indira Gandhi to withdraw the case filed in the Supreme Court by Parkash Singh Badal's government on the sharing of river waters between Punjab, Haryana and Rajasthan. On 31 December 1981, a river-water sharing agreement was signed by the chief ministers of these states (all from the Congress) in the prime minister's office. The Akalis felt the agreement was highly unfavourable to Punjab and that Chief Minster Darbara Singh had been coerced into signing it. This gave the Akalis an issue to fight for. To carry Haryana's share, the Sutlej–Yamuna Link Canal was to be dug and it was to pass through some parts of Punjab. [6]

To avoid a confrontation with the Akalis on this issue, Indira Gandhi invited them for a third and last round of talks with her personally on 5 April 1982, which lasted for over two and a half hours. Zail Singh, still the Union home minister, attended the meeting for the first time, though he remained silent throughout. Pranab Mukherjee, the Union finance minister, was also present. Cabinet Secretary Krishnaswamy Rao Sahib, Home Secretary T.N. Chaturvedi and P.C, Alexander were also in attendance. The Akali delegation comprised Longowal, Badal, Tohra, Balwant Singh, Bhan Singh, P.S. Oberoi and Ravi Inder Singh. [7]

As expected, the Akalis vehemently criticized the December 1981 agreement on sharing of river waters and questioned the intention of the government in withdrawing the case filed by the previous (Akali) government. The prime minister tried to assuage their feelings by promising that she would do her best to find other ways to compensate Punjab, but this failed to convince the Akalis.